

9:00 AM

Line 5

25-CIV-08159 TRACY STETZ BILLUPS VS. COUPA SOFTWARE INCORPORATED, A
DELAWARE CORPORATION

TRACY STETZ BILLUPS
COUPA SOFTWARE INCORPORATED, A DELAWARE
CORPORATION

JOHN E LATTIN
ANTHONY S. ORTIZ

Defendant's Demurrer to Plaintiff's Complaint for Damages

TENTATIVE RULING:

For clarification the Court notes Defendant Coupa Software Incorporated has provided the improper address for the hearing because Department 20 is no longer located in San Mateo as the notice states, but instead at the Northern Branch Courthouse, 1050 Mission Road, Courtroom L, South San Francisco, CA 94080. (See Cal. Rules of Court, Rule 3.1110 [the Notice "must specify" the location of the hearing].)

Defendant Coupa Software Incorporated's demurrer to the second, third, fourth, fifth, sixth and ninth causes of action in the complaint filed by Plaintiff Tracy Stetz Billups October 13, 2025 is SUSTAINED.

Defendant's concurrently filed motion to strike is DENIED as MOOT.

Defendant's late-filed reply brief due to counsel's calendaring error (Declaration of Anthony S. Ortiz iso reply, ¶¶3-5) was considered. Defense counsel is reminded of the Court's preference regarding reply brief courtesy copies, as noted on the Court's website. "Please anticipate a one week delay from eFiling of reply briefs to when they are accessible by the judge. To ensure the earliest review of any reply briefs please submit a courtesy copy to LawAndMotionReplyBriefs@sanmateocourt.org. Please make sure to enter the DEPARTMENT NUMBER and the CASE NUMBER on the subject line of your email."

Background

Plaintiff is a former employee of defendant. The Complaint raises 17 causes of action and avers that prior to her alleged pretextual termination she was subjected by her supervisors, managers, and other agents of defendants to sexual harassment, discrimination on the bases of sex/gender, age, religion, and marital status, and severe and intentional emotional distress. When plaintiff reported the harassment and discrimination, defendants failed to take action to end the harassment and discrimination and instead allegedly retaliated against plaintiff for lodging her complaints about unlawful conduct by terminating her employment.

Plaintiff also contends that defendants failed to properly classify her as a nonexempt employee, failed to pay her minimum wage overtime pay, failed to provide all meal and rest breaks or, alternatively, meal and rest break premium pay, failed to provide accurate wage statements and failed to reimburse her for all necessary business expenses that she incurred in defendants' behalf, all of which caused her significant harm and distress.

Defendant demurs to the second, third, fourth, fifth, sixth and ninth causes of action for insufficient factual basis under Code of Civil Procedure section 430.10, subdivision (e), and as fatally uncertain under subdivision Code of Civil Procedure section 430.10, subdivision (f). Additionally, defendant contends the ninth cause of action for intentional infliction of emotional distress ("IIED") is also precluded by the worker's compensation exemption.

Plaintiff opposes demurrer on three grounds. First, the demurrer challenges the evidentiary bases of the causes of action that are not suitable at the pleading stage. Next, the demurrer neglects to consider Government Code section 12923 in determining hostile work environment. Lastly, defendant's lead authority, *Miller v. Department of Corrections*, 36 Cal. 4th 446 (2005), belies their position because it establishes the precise theory of hostile work environment that paragraph 12 of the Complaint pleads: widespread sexual favoritism conveying to women that relationships with management are the expected and preferred path to advancement.

Meet and Confer

A party filing a demurrer "shall meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer." (Code Civ. Proc., § 430.41, subd. (a).)

Preliminarily, the Court notes the parties met and conferred both regarding the demurrer and motion to strike, as required under the rules of Civil Procedure, but were unable to reach a resolution. (Declaration of Anthony S. Ortiz iso Demurrer ¶ 3, Declaration of Anthony S. Ortiz iso MTS, ¶ 3.)

Legal Standard

A demurrer tests the pleadings alone and not the evidence or other extrinsic matters; therefore, it lies only where the defects appear on the face of the pleading or are judicially noticed. (Code Civ. Proc., §§ 430.30, 430.70.) The only issue involved in a demurrer hearing is whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action. (*Hahn v. Mirda*, (2007) 147 Cal.App.4th 740, 747.) Since a demurrer "admits the truth of all material factual allegations in the complaint," a plaintiff's ability to prove these allegations "does not concern the reviewing court... The plaintiffs need only plead facts showing that they may be entitled to some relief." (*Fisher v. San Pedro Peninsula Hosp.* (1989) 214 Cal.App.3d 590, 604 superseded by statute on other grounds [internal quotations omitted].) The general rule is that the plaintiff need only allege ultimate facts, not evidentiary facts. (*Doe v. City of Los Angeles* (2007)

42 Cal.4th 531, 550.) The trial court then has an independent duty to “determine whether or not the ... complaint alleges facts sufficient to state a cause of action under any legal theory.” (*Das v. Bank of America, N.A.* (2010) 186 Cal.App.4th 727, 734.)

A special demurrer for uncertainty, Code of Civil Procedure section 430.10, subdivision (f), is disfavored and will only be sustained where the pleading is so bad that defendant cannot reasonably respond—i.e., cannot reasonably determine what issues must be admitted or denied, or what counts or claims are directed against him/her. (*Khoury v. Maly's of Calif., Inc.* (1993) 14 Cal.App.4th 612, 616.)

Discussion

The FEHA causes of action challenged by the demurrer raised in the complaint's second, third, fourth, fifth and sixth causes of action, rely heavily upon the allegations set forth in the complaint's fourteenth paragraph, excerpted here:

14. Bartolo, however, did not limit his harassment and discrimination of Plaintiff on the basis of sex/gender only. He also intentionally discriminated against Plaintiff because of her age, religion, and marital status. For example, Bartolo would repeatedly and intentionally make comments for years about her age and marital status, including that if she were laid off that she should just retire because she was too old to reinvent herself at another company and that she should retire because she was married and had a husband to support her. Bartolo also held a leadership meeting where he promoted his religious beliefs in a presentation that violated company policy and made Plaintiff and others feel that embracing Bartolo's religious views was necessary to being successful in their roles at COUPA.

(Compl. ¶ 14.)

Second Cause of Action – Sexual Harassment and Discrimination in Violation of FEHA.

“[A]n employee claiming harassment based upon a hostile work environment must demonstrate that the conduct complained of was severe enough or sufficiently pervasive to alter the conditions of employment and create a work environment that qualifies as hostile or abusive to employees because of their sex” as evaluated in light of the totality of the circumstances. (*Miller v. Department of Corrections* (2005) 36 Cal.4th 446, 462.) Here, the Court finds the complaint does not raise sufficient facts demonstrating a hostile work environment as a result of harassment because, even assuming the truth of the singular sexual affair, the facts as alleged do not demonstrate Bartolo's sexual favoritism was sufficiently widespread so as to create a hostile environment. Moreover, the Court finds the complaint ambiguous as to whether the discrimination of female employees is alleged against Sanford, Bartolo, or both. For this reason the Court finds this cause of action to be fatally uncertain as well as factually insufficient and demurrer is SUSTAINED.

Third Cause of Action – Discrimination on the Basis of Religion in Violation of FEHA.

“The elements of a religious creed discrimination claim are that: the plaintiff had a bona fide religious belief; the employer was aware of that belief; and the belief conflicted with an employment requirement. (*Soldinger v. Northwest Airlines, Inc.* (1996) 51 Cal.App.4th 345, 370, 58 Cal.Rptr.2d 747.)” (*Friedman v. Southern Cal. Permanente Medical Group* (2002) 102 Cal.App.4th 39, 45, *as modified* (Sept. 24, 2002).)

Here, the complaint alleges “. Bartolo also held a leadership meeting where he promoted his religious beliefs in a presentation that violated company policy and made Plaintiff and others feel that embracing Bartolo’s religious views was necessary to being successful in their roles at COUPA.” (Complaint ¶ 14.) Defendant contends this allegation lacks a sufficient factual basis and the Court agrees: the complaint does not set forth plaintiff’s bona fide religious belief or set forth any facts supporting that her beliefs were in conflict with those allegedly espoused by Bartolo. Similarly, the Court also agrees the cause of action is fatally uncertain. Accordingly, demurrer is SUSTAINED as to the third cause of action.

Fourth Cause of Action – Discrimination on the Basis of Age in Violation of FEHA

“[T]o make out a prima facie case of age discrimination under FEHA, a plaintiff must present evidence that the plaintiff (1) is over the age of 40; (2) suffered an adverse employment action; (3) was performing satisfactorily at the time of the adverse action; and (4) suffered the adverse action under circumstances that give rise to an inference of unlawful discrimination, i.e., evidence that the plaintiff was replaced by someone significantly younger than the plaintiff. (*Hersant, supra*, 57 Cal.App.4th at pp. 1002–1003, 67 Cal.Rptr.2d 483.)” (*Sandell v. Taylor-Listug, Inc.* (2010) 188 Cal.App.4th 297, 321.)

Here, the only reference regarding plaintiff’s age appears (again) to be complaint paragraph fourteen that “if she were laid off that she should just retire because she was too old to reinvent herself at another company.” Plaintiff contends this statement expressly linked Plaintiff’s age to the prospect of her layoff because plaintiff was laid off after Bartolo’s statement despite having excellent reviews, raises and promotions while lesser performers were retained. The Complaint does not set forth the prima facie case however, because it alleges plaintiff was “fired under the pretext of layoffs”. (Compl. ¶ 20.) Though this paragraph alleges she was replaced, there is no factual allegation regarding the age, gender nor any factual information about her replacement. Thus the Court does not find a sufficient factual basis for this cause of action and demurrer is SUSTAINED.

Fifth Cause of Action – Discrimination on the Basis of Marital Status in Violation of FEHA

Marital status discrimination is prohibited by FEHA: “It is an unlawful employment practice ... [¶] [f]or an employer, because of ... marital status ... to bar or to discharge the person from employment.” (*Nakai v. Friendship House Assn. of American Indians, Inc.* (2017) 15 Cal.App.5th 32, 40 [quoting Gov. Code, § 12940, subd. (a)].) The only reference to marital status is part of a sentence in paragraph fourteen that if plaintiff were laid off “she should just retire

because she was married and had a husband to support her.” (Compl. ¶ 14.) The Court finds this cause of action to be wholly factually insufficient and fatally uncertain. Accordingly, demurrer is SUSTAINED.

Sixth Cause of Action – Failure to Prevent Sexual Harassment in Violation of FEHA

In pertinent part, Government Code section 12940 provides, “It is an unlawful employment practice ... : [¶] (a) [f]or an employer, because of ... sex ... to discriminate against the person ... [¶] ... [¶] [and] (j)(1) [f]or an employer ... , or any other person, because of ... sex ... to harass an employee... .” Section 12940, subdivision (k) states in part that “[i]t is an unlawful employment practice ... : [¶] ... [¶] ...For an employer ... to fail to take all reasonable steps necessary to prevent discrimination and harassment from occurring.” This code section “creates a separate actionable tort enforceable upon the establishment of the usual tort elements of duty of care, breach of duty (a negligent act or omission), causation, and damages. (Citation.) One of the elements of a harassment claim pursuant to section 12940, subdivision (j)(1) is that the harassment be sufficiently severe or pervasive so as to alter the conditions of employment and create an abusive working environment.” (*Dickson v. Burke Williams, Inc.* (2015) 234 Cal.App.4th 1307, 1312-1313.) Notably, “ ‘courts have required a finding of actual discrimination or harassment under FEHA before a plaintiff may prevail under section 12940, subdivision (k).’ ” (*Id.* at 1314.)

Because the Court sustained demurrer as to the second cause of action this cause necessarily fails under *Dickson*, *supra*. Accordingly, demurrer is SUSTAINED.

Ninth Cause of Action – IIED

“ ‘ “[T]o state a cause of action for intentional infliction of emotional distress a plaintiff must show: (1) outrageous conduct by the defendant; (2) the defendant's intention of causing or reckless disregard of the probability of causing emotional distress; (3) the plaintiff's suffering severe or extreme emotional distress; and (4) actual and proximate causation of the emotional distress by the defendant's outrageous conduct.” ’ [Citation.] ‘ “Conduct, to be ‘ “outrageous” ’ must be so extreme as to exceed all bounds of that usually tolerated in a civilized society.” ’ [Citation.] In order to avoid a demurrer, the plaintiff must allege with ‘great[] specificity’ the acts which he or she believes are so extreme as to exceed all bounds of that usually tolerated in a civilized community. [Citation.]” (*Vasquez v. Franklin Management Real Estate Fund, Inc.* (2013) 222 Cal.App.4th 819, 832, 166 Cal.Rptr.3d 242 (*Vasquez*).)

(*Yau v. Santa Margarita Ford, Inc.* (2014) 229 Cal.App.4th 144, 160–161.)

Paragraph 89 of the complaint alleges “Defendants engaged in a number of examples of extreme and outrageous conduct that are far beyond the bounds of acceptable behavior, including but not limited to the following, sexually harassing Plaintiff, creating a hostile work environment, and retaliating against Plaintiff. sexually harassing Plaintiff, creating a hostile work environment, and retaliating against Plaintiff.” The Court agrees with defendant that this is a “conclusory and

factually devoid manner” (MPA p. 10) and well below the required degree of specificity needed to demonstrate extreme and outrageous conduct and the requisite emotional distress. Accordingly, demurrer is SUSTAINED pursuant to Code of Civil Procedure section 430.10, subdivision (e) as factually insufficient.

Additionally, defendant argues that the ninth cause of action is barred by the exclusivity provisions of the Workers’ Compensation Act (Lab. Code, § 3600 et seq.). It is correct that “physical and emotional injuries sustained in the course of employment are preempted by the workers’ compensation scheme and generally will not support an independent cause of action. (*Cole v. Fair Oaks Fire Protection Dist.* (1987) 43 Cal.3d 148, 160, 233 Cal.Rptr. 308, 729 P.2d 743 (*Cole*).)” (*Yau v. Santa Margarita Ford, Inc.*, *supra*, 229 Cal.App.4th at 161.) The Court does not enter a ruling with respect to this alternate ground for demurrer having sustained demurrer for failure to state sufficient facts, but notes that the alleged emotional stress caused by a supervisor’s sexual harassment and misconduct towards employees are not typically injuries sustained in the “normal” course of employment.

Leave to Amend

“[I]t is an abuse of discretion to sustain a demurrer without leave to amend if the plaintiff shows there is a reasonable possibility any defect identified by the defendant can be cured by amendment.” (*Hale v. Sharp Healthcare* (2010) 183 Cal.App.4th 1373, 1379.) The Court cannot say, as it must in order to deny leave to amend, that “amendment would be futile.” (*Nelson v. Tucker Ellis, LLP* (2020) 48 Cal.App.5th 827, 848 [internal citations and quotations removed].) Accordingly, leave to amend is GRANTED.

Any amended complaint must be filed within fourteen (14) days of entry of this Court’s Order. (Code Civ. Proc. § 472a, subd. (c).)

Any party who contests a tentative ruling must email Dept20@sanmateocourt.org with a copy to all other parties by 4:00 p.m. stating, without argument, the portion(s) of the tentative ruling that the party contests.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, Counsel for the prevailing party shall prepare for the Court’s signature a written order consistent with the Court’s ruling pursuant to CRC Rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the CRC. Please note that Local Rule 3.403(b)(iv) states in part “prevailing party on a tentative ruling is required to prepare a proposed order **REPEATING VERBATIM** the tentative ruling” (emphasis added). The order should be filed or e-filed only, do not email or mail a hard copy to the Court.

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Line 6

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Defendant's Motion to Strike Portions of Plaintiff's Complaint

TENTATIVE RULING:

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Defendant Coupa Software Incorporated's motion to strike paragraph 12, lines 26-27 from Plaintiff Tracy Stetz Billups's Complaint filed October 13, 2025, is DENIED AS MOOT because its demurrer was sustained in entirety.

Background

Plaintiff is a former employee of defendant. Plaintiff's Complaint raises 17 causes of action and avers that, prior to her alleged pretextual termination, she was subjected by her supervisors, managers, and other agents of defendants to sexual harassment, discrimination on the bases of sex/gender, age, religion, and marital status, and severe and intentional emotional distress. When plaintiff reported the harassment and discrimination, defendants failed to take action to end the harassment and discrimination and instead allegedly retaliated against plaintiff for lodging her complaints about unlawful conduct by terminating her employment.

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Concurrent to their demurrer defendant brings the instant motion to strike the allegation from plaintiff's complaint that plaintiff's supervisor Chris Bartolo "had a well-known affair with a female Sourcing Manager." (MTS p. 3, quoting Compl. ¶ 12, lines 26-27.) Defendant asserts said
